

BATs

Past Paper Revision Series

Case Study Collection

(Modules 4-7)

- 4. Introduction to Management
- 5. Financial Management
- 6. Marketing Management
- 7. Human Resources Management



Heung To Middle School

Book 3

2012-Section B-6

Mr Li is an experienced chef who has worked for several five-star hotels in Hong Kong. Two years ago, Mr Li established a French restaurant called Platine in Tsim Sha Tsui. Platine offers a good selection of traditional French cuisine and wines in a spacious environment. As Mr Li likes eating fine food, almost all the ingredients and wines of the restaurant are imported from France.

Platine's profits were satisfactory in the first year after its commencement. However, sales declined and losses were incurred in the last few months. To turn the situation around, Mr Li has employed a management consultant, Mr Sze, to analyse the restaurant's problems.

After a thorough investigation, Mr Sze thinks that high inventory cost, such as the inventory cost of oysters, is one of the reasons for the losses. The past sales records show that Platine sold 400 dozens of oysters each week. Oysters were ordered in dozens and the ordering cost was \$800 per order. The average holding cost per dozen oysters was \$16 per week. As oysters are among the favourite dishes provided by Platine, it is the restaurant's practice to order 600 dozen oysters each time to avoid shortages. Hence, many oysters have to be disposed of, leading to an unnecessary cost to the restaurant. In view of this, Mr Sze suggests that the restaurant can adopt the Economic Order Quantity (EOQ) model to reduce its inventory cost.

Mr Sze explains that fluctuations in the exchange rate of the Euro also have a great impact on the restaurant's profits as most of its ingredients and wines are imported from France. He then mentions that hedging is a method commonly used to manage such risk.

Finally, Mr Sze comments that fine food quality and nice dining environment are not enough to keep customers as they consider a lot of factors in making their purchase decisions. Mr Sze suggests that Mr Li should make use of the marketing concept in operating his restaurant and at the same time develop effective marketing mix strategies to enhance its competitiveness.

FIN505 Working Capital Management

- (a) (i) Explain how the use of the EOQ model can reduce inventory cost. (3 marks)

FIN505 Working Capital Management

- (ii) Using the EOQ model, calculate the optimal order quantity of oysters (in dozens) for Platine, show your workings. (2 marks)

FIN506 Risk Management

- (b) Briefly describe two ways to hedge against the Euro exchange rate risk. (4 marks)

MKT601 Role of Marketing

- (c) Use the case of Platine to illustrate the meaning of marketing concept. (3 marks)

MKT603 Consumer Behaviour

- (d) With reference to the customer decision-making process, outline the steps Platine's customers should take before they make their purchase decisions. (6 marks)

MKT605 Marketing Strategies for Goods and Services (I): Marketing Mix

- (e) Other than product, there are three other elements of the marketing mix. Suggest one way in which Platine can use each of these other elements to enhance its competitiveness. (6 marks)

(Total: 24 marks)

2012-Section B-7

Skyline Airways is a long-established listed company based in Hong Kong. The company has a wide network serving travellers all over the world. Over the last decade, the company has gained a reputation and its earnings were satisfactory.

At a regular meeting, the Customer Relations Manager reported that there had been an increase in the number of customer complaints against crew members. The Human Resources Manager commented, "Our company policy and working conditions are among the best. The salary and welfare of the crew members have been improving, making our compensation packages more competitive than the other airline companies. However, the supervisors tend to be conservative in appraising employees, so only a small number of crew members get promoted. This may adversely affect their morale."

The Financial Manager raised other concerns, "We are in a period of economic fluctuation and rising oil price, which may affect our profits. Unfortunately these risks are uninsurable. Also, more and more travel agencies delay their payments. As we rely quite heavily on agencies' sales, it seems that there is a need to review and tighten the existing credit policy."

The Chief Executive Officer (CEO) added, "Apart from the above problems, we are now facing increasing risks and challenges as a result of rapid environmental change. Even though the company is able to maintain its business, exploring ways to expand and diversify our business is of great strategic importance. Therefore, we are now planning to take over a flight catering company which involves a substantial amount of money. On top of the cash reserve, we need to find other ways to obtain more funds for the takeover."

The meeting ended with the CEO's request for a proposal from the top management on the issues raised, which would be discussed at the next meeting.

HRM705 Development of Quality Workforce

- (a) From the perspective of human resources management, identify two possible adverse consequences of crew members' low morale to Skyline Airways, (4 marks)

HRM705 Development of Quality Workforce

- (b) With reference to Herzberg's Dual-Factor Theory, suggest three ways to motivate the crew members of Skyline Airways. (6 marks)

FIN506 Risk Management

- (c) Give three reasons why the risk of economic fluctuation faced by Skyline Airways is uninsurable. (6 marks)

FIN505 Working Capital Management

- (d) List any two elements of credit policies. Suggest one way in which Skyline Airways can use each of these two elements to reduce the delays in payment by travel agencies. (4 marks)

FIN503 Sources of Financing

- (e) Suggest three sources of funds for the above takeover. Give a reason for each of your suggestions. (6 marks)

(Total: 26 marks)

2013-Section B-7

Yummy Group is a listed fast food chain in Hong Kong, established by Mr Lee twenty years ago.

In a meeting, Mr Lee said, “I want to discuss two issues today. First, as discussed before, the fast food market is saturated, so is it time for us to diversify our business? Second, in view of the recent incidents of food poisoning in some local fast food chains, we have to formulate strategies to manage this risk.”

The Marketing Director, Miss Ma said, “People in Hong Kong are now more health conscious. Instead of focusing our business on fast food, we can diversify our business to the health food market. I propose to set up some organic food restaurants offering health food like fresh fruit juices, salads and sandwiches using organic ingredients. Unlike in our fast food chain, there would be waiters in these restaurants to serve the customers. I have conducted some preliminary studies and found that the middle-class should be our target customers. I have also generated many initial ideas on the menu and will conduct a market research to help sorting out those alternatives that are feasible.”

Mr Lee said, “You have done a good job. However, are you sure that the middle-class is an effective market segment for us? Do we have enough capital to carry out this diversification project?”

Miss Ma remarked, “Based on the criteria for evaluating a market segment, the proposed segment is the most effective. Since the segment is new to us, we have to find ways to promote the organic food restaurants.”

The Finance Director, Mr Fung responded, “Setting up such a new line of restaurants requires a substantial amount of capital. We will need at least \$100 million. As our group has used up almost all the retained earnings, we don't have enough capital for this project.”

FIN506 Risk Management

- (a) Suggest two risk management strategies for handling the risk of food poisoning faced by Yummy Group. (4 marks)

MKT602 Marketing Research

- (b) Give three types of data collection method that Miss Ma can use in conducting the market research. Explain each with an example. (6 marks)

MKT604 Segmentation, Targeting and Positioning

- (c) With reference to the criteria for evaluating a market segment, explain why the middle-class is an effective market segment for organic food restaurants. (6 marks)

FIN503 Sources of Financing

- (d) List three sources of capital for raising \$100 million to finance the setting up of the organic food restaurants. (3 marks)

MKT605 Marketing Strategies for Goods and Services (I): Marketing Mix

- (e) With reference to any three elements of the promotion mix, suggest one way each to promote the organic food restaurants. (6 marks)

(Total: 25 marks)

2013-Section B-8

Wing Hung is a locally-based department store chain established seventy years ago. Mr Richard Li, son of the founder, took over the business forty years ago. He is going to retire and plans to pass the business to his son, Raymond. He has asked Raymond to visit the stores and study the business.

After several store visits, Raymond reported his observations to Richard, "I think our employees lack initiative and their service quality fails to meet today's standard. It seems that they have to follow rigid rules in carrying out their duties."

Richard responded, "I do it this way on purpose. I believe that close supervision and motivation by money are the keys to our success. I pay them salaries at a higher rate than the market level. They are required to listen to my instructions and stick to the existing practices. You should follow my management style in order to be successful."

Raymond replied, "You may be right, maybe we can consider other monetary compensation methods to motivate our employees to perform better. We can also provide some training to enhance their quality of service. In addition, as on-line purchasing is very popular nowadays, we should launch an on-line shopping system. According to my estimation, the initial installation will cost \$12 million and the net cash flows would be \$4 million per year for a useful life of four years."

Richard replied, "Very good. The payback period of the project is short! We can get back the investment very quickly."

Raymond said, "Using the payback period method alone to evaluate the project is not appropriate, we need to calculate its net present value as well."

HRM705 Development of Quality Workforce

- (a) With reference to McGregor's Theory X and Theory Y, state three assumptions that Richard holds in relation to managing his employees. Illustrate each with an example. (6 marks)

HRM703 Rewards and Benefits Management

- (b) Apart from providing above market level salaries, suggest three other types of monetary compensation methods that Wing Hung could adopt to motivate its employees to perform better. (6 marks)

MKT606 Marketing Strategies for Goods and Services (II): Product Life Cycle and Services Marketing

- (c) With reference to two characteristics of service, give one reason each to explain why training can help Wing Hung to meet today's service standard. (4 marks)

FIN504 Capital Investment Appraisal

- (d) (i) Calculate the payback period of the on-line shopping project. (1 mark)

FIN504 Capital Investment Appraisal

- (ii) Give two reasons why it is not appropriate to use the payback period method to evaluate the on-line shopping project. (4 marks)

FIN504 Capital Investment Appraisal

- (e) (i) Based on Raymond's estimates of the cash flows for the on-line shopping project, and assuming a discount rate of 8% per annum, calculate the net present value of the project (to the nearest dollar). Show your workings. (2 marks)

FIN504 Capital Investment Appraisal

- (ii) According to your calculation in (e) (i), explain whether the project should be adopted.

(2 marks)

(Total: 25 marks)

2014-Section B-6

Grassland is a major wholesaler in Hong Kong which sells bedding products to department stores and specialty stores.

At a regular meeting, Ricky, the Marketing Manager, said, 'Since we are facing keen competition and aggressive competitors, we have to put in more effort to keep a close and long-term relationship with retailers so that our business can be maintained. We should devise some measures to encourage retailers to carry more of our products. It is equally important to improve and increase the variety of our products. But this depends on whether our merchandisers can source high-quality suppliers and negotiate the best possible terms with them.'

Steven, the Human Resources Manager, responded, 'We may have to change our existing policy of across-the-board salary increment for all merchandisers. To motivate them to perform better, we may consider linking the increment with their individual performance. We would then have to keep track of their performance, but the existing performance appraisal does not have a formal procedure for this. We need to set up a formal performance appraisal system to assess their individual performance more accurately. At the same time, we should provide them with specific training and development programmes to equip them with better sourcing and negotiation skills.'

Thompson, the Finance Manager, said, 'We will need extra funds for the training programme and the development of the performance appraisal system. The recent financial report reveals that our cash position is tight. I think there are some problems with our cash conversion cycle and we must improve our cash flows by managing the working capital more effectively.'

MKT605 Promotion or Distribution Strategies

- (a) Apart from maintaining a good relationship with retailers, suggest two ways in which Grassland can encourage retailers to carry more of its products. (4 marks)

HRM702 Performance Appraisal

- (b) Explain two performance appraisal methods that can be adopted by Grassland to assess the performance of the merchandisers. (4 marks)

HRM704 Training and Development

- (c) Grassland has identified the training needs of its merchandisers. Describe three of the remaining steps that it should take in the training process. (6 marks)

FIN505 Working Capital Management

- (d) From the perspective of working capital management, suggest two ways in which Grassland can improve its cash flows. (4 marks)

(Total: 18 marks)

2014-Section B-7

Petal Airways is a listed airline company in Hong Kong. The company carries passengers to more than 40 countries. Its high-quality service is respected worldwide.

In a management meeting, Andy, CEO of the company, said, 'Nowadays, more and more customers like to patronise budget airlines. As budget airlines account for only 5% of the aviation market in Hong Kong, this segment has good potential. We may set up a budget airline with a new brand to capture this business opportunity.'

Billy, the Marketing Director, replied, 'That's a good idea! A budget airline can make long-haul travel accessible to young people who have a low income but like to travel abroad during their vacation. Apart from individual consumers, we may also serve business customers as some firms which transport cargo to overseas countries frequently would like to lower their costs. Of course, we have to take note of the differences between the consumer market and the business market. Above all, we must master the key to the success of a budget airline, that is, making profit by keeping costs low. It may be helpful to adopt e-marketing strategies to achieve this purpose.'

Carol, the Finance Director, had reservations and said, 'Establishing a budget airline involves at least \$100 million. The largest capital expenditure item is the purchase of planes. Almost all our retained earnings have been used up, so I'm afraid our company does not have enough funds to buy planes.'

Andy replied confidently, 'Don't worry! The interest rate is now very low. We can take out a short-term loan to purchase the planes. Given our good relationship with banks over the years, they would be very willing to grant such a loan to us. More importantly, the risk to the airline business is higher than many other industries. We have to manage our risks well while keeping our costs low.'

MKT603 Consumer Behaviour

- (a) Using the budget airline market as an example, explain three differences in buying behaviour between the consumer market and the business market. (6 marks)

MKT606 Marketing Strategies for Goods and Services (II): Product Life Cycle and Services Marketing

- (b) Apart from lower cost, explain two benefits to the budget airline of adopting e-marketing strategies. (4 marks)

FIN503 Sources of Financing

- (c) What are the problems if Petal Airways finances the purchase of planes for the budget airline with a short-term loan? Describe two of them. (4 marks)

FIN506 Risk Management

- (d) With reference to any two types of macro-environmental factors, explain why the risk to the airline business is higher than many other industries. (4 marks)

(Total: 18 marks)

2015-Section B-6

Lucky Company Limited (Lucky) is a health food producer established in Hong Kong ten years ago. It sells to retailers such as supermarkets and specialty stores, and runs its own retail stores. In view of the keen competition and rising operating costs, Alan, the General Manager, called a meeting to discuss the following suggested measures to improve profitability:

- tighten up credit policy
- freeze the salaries of all employees
- introduce strict control over salespeople's work behaviours

Billy, the Finance Manager, agreed to the suggestions and said, "We have a high level of bad debts which makes it difficult to meet short-term obligations. We have been offering very generous terms to retailers. We now need to tighten up our credit policy."

Calvin, the Marketing Manager, added, "We should not rely on our retailers to boost sales. We'd better launch more promotions directly to the consumers to stimulate sales in our own retail stores."

Daisy, the Human Resources Manager, was concerned about the last two of the suggested measures, saying, "Our absenteeism and turnover rates are increasing and many staff are not willing to work hard. Freezing their salaries may worsen the situation. I also wonder if strict control over the salespeople will be effective. Shall we consider giving them some non-monetary rewards?"

FIN505 Working Capital Management

- (a) With reference to any two elements of credit policy, explain how Lucky can tighten its credit to retailers. (4 marks)

MKT605 Marketing Strategies for Goods and Services (I): Marketing Mix

- (b) For any three elements of the promotion mix, suggest one way each for Lucky to stimulate the sales in its own retail stores. (6 marks)

HRM705 Development of Quality Workforce

- (c) With reference to two relevant assumptions of McGregor's Theory X and Theory Y, explain why strict control over the salespeople could make them work hard. (4 marks)

HRM703 Rewards and Benefits Management

- (d) Suggest four non-monetary rewards that Lucky could give to its salespeople. (4 marks)

(Total: 18 marks)

2015-Section B-7

Sunlight Fitness is a fitness chain set up by Peter with the mission of providing customers with excellent fitness experiences. Its centres are equipped with a range of advanced equipment suitable for customers of all fitness levels. Benefiting from the healthy living trend in Hong Kong, the company has enjoyed good sales and profits in the early years of its operation.

The fitness service industry has become more competitive in recent years and the growth in sales and profits of Sunlight Fitness has slowed down. Its financial data of 2013 and 2014 is extracted below:

	<u>2013</u>	<u>2014</u>
	\$'000	\$'000
Sales	30 000	35 000
Net profit before tax	9 000	9 450
Total assets (as at 31 December)	12 500	17 500

In a management meeting, Peter said, "Although our sales and net profits are increasing, the net profit margin has decreased. Shall we calculate the total assets turnover as well to find out more?"

Paul, the Centre Manager, said, "At the same time, we are receiving more and more customer complaints. They complained about the long queues to use the fitness equipment during peak hours. In addition, they are unhappy with the cleanliness of the centre, especially when they find other users' sweat stains on the equipment. Customers also said that trainers are difficult to book, even though the trainers are often found chatting with customers."

Mary, the Marketing Manager, remarked, "To increase our competitiveness and outperform our competitors, we must enhance our service quality. I have also noticed that beauty services are increasingly patronised by male customers in Hong Kong. I believe the market of beauty services for men has good potential as it's now in the growth stage of the product life cycle."

Paul responded, "I agree with you! We can set up a beauty centre to provide skin and beauty care services to male customers. We will introduce the safest and most advanced equipment and recruit experienced beauty consultants through interview."

Peter queried, "Is interview really an effective means of choosing the right applicants?"

FIN501 Financial Analysis

- (a) (i) Calculate the total assets turnover of Sunlight Fitness for 2013 and 2014. (2 marks)

FIN501 Financial Analysis

- (ii) Give one reason for the change in total assets turnover in (i) above. (2 marks)

MKT606 Marketing Strategies for Goods and Services (II): Product Life Cycle and Services Marketing

- (b) With reference to any three characteristics of service, explain how Sunlight Fitness can enhance the service quality of its fitness centres. (6 marks)

HRM701 Human Resources Planning and Staffing

- (c) Explain two limitations of using interview as a means of choosing beauty consultants for the beauty centre. (4 marks)

MKT605 Marketing Strategies for Goods and Services (I): Marketing Mix

- (d) Suggest a product strategy and a pricing strategy for the beauty centre. For each strategy, justify your suggestions with one characteristic of the growth stage of the product life cycle. (4 marks)

(Total: 18 marks)

2016-Section B-6

Ming Kee is a small Hong Kong supermarket chain established fifteen years ago. Owing to keen competition and rising costs, the chain has not been able to earn very good profits recently. Sometimes, there are also problems maintaining good liquidity. Paul, the Managing Director, called a meeting to discuss ways to deal with the current situation.

David, the Finance Manager, reported, “Although all our sales are in cash, we are still having a liquidity problem. This may be due to slower inventory turnover for a lot of items and our inventory turnover ratio is below the industrial average. Take beverages as an example, the past sales records show that our chain sold 500 boxes each month. We currently order 600 boxes each time. The ordering cost is \$5 625 per order and the average holding cost per box is \$10 per month. To improve the situation, I suggest using the Economic Order Quantity model to reduce the inventory costs. We should also put more effort into marketing to speed up the turnover of the slow-moving stock.”

George, the Marketing Manager responded, “Sure, we will have more promotions to stimulate the sales of the slow-moving stock. I also believe that the ‘online to offline’ (O2O) trend will bring us more opportunities. We can develop an online shopping platform for customers to make purchases online and then they can pick up the goods they ordered in our stores. When the customers get their goods in our supermarkets, they may buy other goods as well. Also, a much larger variety of goods can be displayed on the online shopping platform and customers can shop without time constraints. This project looks feasible and should have a quick payback that won’t worsen our liquidity.”

David raised a concern, commenting, “The project idea sounds good but we should use the Net Present Value method for a more accurate evaluation of the investment.”

Paul considered the project to be promising and asked the managers to start the project.

FIN505 Working Capital Management

- (a) (i) Using the Economic Order Quantity model, calculate the optimal order quantity of beverages (in boxes) for Ming Kee. Show your workings. (2 marks)

FIN505 Working Capital Management

- (ii) Based on the optimal order quantity calculated in (a) (i), state which inventory cost component contributes to the reduction in total inventory cost. Explain why. (2 marks)

FIN505 Working Capital Management

- (b) From the perspective of cash management, suggest two ways to cope with Ming Kee’s liquidity problem. (4 marks)

FIN504 Capital Investment Appraisal

- (c) Give two reasons for using the Net Present Value method instead of the Payback method to evaluate the online shopping project. (4 marks)

MKT606 Marketing Strategies for Goods and Services (II): Product Life Cycle and Services Marketing

- (d) Suggest three non-financial problems that may arise if Ming Kee launches the online shopping project. (6 marks)

(Total: 18 marks)

2016-Section B-7

Centralwash is a company providing dishware cleaning and sanitising services to restaurants in Hong Kong. It has advanced dishwashing equipment to help restaurants maintain food safety, boost operational efficiency and minimise costs.

The company picks up dishware from restaurants, cleans and sanitises the dishware, and delivers it back to its customers. After operating for years, the company has gained a reputation in the industry. However, the sales growth of the industry recently started to slow down.

In a management meeting, Peter, the Managing Director, said, "I note that many competitors have been entering the market recently. Some weaker competitors have been forced to drop out of the market. Price competition is popular. We have to find some ways to enhance our competitiveness and maintain our profits. In order to understand more about the needs of our customers, we can collect some secondary data for analysis."

Billy, the Marketing Manager, responded, "I think secondary data may not be useful to us."

Daisy, the Human Resources Manager, commented, "We are now employing a team of salespeople to sell our service to target customers. The company could provide off-the-job training to them so as to improve their job skills and hence increase the success rate of personal selling."

Billy agreed and said, "I am pretty sure that the industry is at the maturity stage of the product life cycle. Besides enhancing the effectiveness of personal selling, we could launch more promotions to attract new customers."

Peter added, "We are also facing the problem of frequent damage to dishware, which may bring losses to us. Would it be possible to insure against this risk?"

Mary, the Finance Manager, responded, "I am afraid that this risk may not be insurable."

MKT602 Marketing Research

- (a) (i) What is secondary data? (1 mark)

MKT602 Marketing Research

- (ii) Give two limitations of using secondary data to help Centralwash understand the needs of its customers. (2 marks)

MKT606 Marketing Strategies for Goods and Services (II): Product Life Cycle and Services Marketing

- (b) Give three pieces of evidence from the case to support Billy's view that the dishware cleaning and sanitising industry is at the maturity stage of the product life cycle. (3 marks)

HRM704 Training and Development

- (c) Suggest three off-the-job training methods and state how each of them can help the sales team of Centralwash increase the success rate of personal selling. (6 marks)

FIN506 Risk Management

- (d) (i) Give a reason why the risk of frequent damage to dishware is non-insurable. (2 marks)

FIN506 Risk Management

- (ii) Suggest two risk management strategies Centralwash could adopt to deal with the risk in (d)(i) above. (4 marks)

(Total: 18 marks)

2017-Section B-5

Marco is the owner in the form of a sole proprietorship of an eyewear retail chain, selling different brands of glasses. Currently, the chain has 11 retail stores all over Hong Kong, and has 30 administrative staff and 60 salespersons. To grasp the opportunity offered by market expansion, Marco wants to open more branches in the coming five years. He is considering various ways to finance his expansion plan.

In a meeting, Daisy, the Marketing Manager reported, 'According to research, the market demand for eyewear is increasing. Customers are more willing to spend money on trendy and high class eyewear. We have already put more resources into advertising in the past three months. I believe that this marketing strategy has helped bring in new customers.'

David, the Finance Manager agreed, 'With increased advertising, our sales have increased substantially.'

John, the Human Resources Manager responded, 'I am pleased to know that the sales performance has improved. However, our recent staff appraisals show that many salespersons are not satisfied with their jobs. In fact, their salary level is higher than the market rate. We have also offered long-term employment contracts and comprehensive benefits to them. We may need to find other ways to improve their morale.'

Marco asked, 'Besides enhancing salespersons' morale, what else can we do to further increase sales?'

Daisy replied, 'Many companies have started implementing a customer relationship management (CRM) system to help increase sales to existing customers. Shall we also introduce a CRM system to achieve this goal?'

John added, 'If we decide to adopt a CRM system, then we have to recruit a manager to lead this new project. We may consider appointing the customer relationship manager through internal promotion.'

FIN503 Sources of Financing

- (a) List three types of methods that Marco could use to finance his five-year expansion plan. Give one disadvantage of each of them. (6 marks)

HRM705 Development of Quality Workforce

- (b) With reference to Maslow's Hierarchy of Needs Theory, explain two levels of needs which Marco's retail chain may not currently satisfy for its salespersons. (4 marks)

MKT607 Customer Relationship Marketing / CRM

- (c) Give two reasons why customer relationship management could help increase sales to existing customers. (4 marks)

HRM701 Human Resources Planning and Staffing

- (d) Outline two limitations of appointing a customer relationship manager through internal promotion. (4 marks)

(Total: 18 marks)

2017-Section B-6

King's Restaurant, an international catering chain, has been operating in Hong Kong for a few decades. Its market position is to provide customers with innovative catering services at an affordable price. Its sales and profits have been growing steadily. However, the chain has recently been troubled by complaints about its deteriorating service quality.

In a meeting, May, the Marketing Manager said, 'We are facing keen competition in the catering industry, so it is important to maintain our service quality. However, we have received complaints from customers that the dining environment is unpleasant and some waiters are rude. Sometimes customers need to wait for a long time to be served.'

The Finance Manager, Simon, responded, 'Our revenue is growing at a decreasing rate, and improving our service quality will certainly boost sales.'

The Information Technology Manager, Danny, suggested, 'Some restaurants in other countries have started using robots to take orders and deliver dishes to customers. We should conduct a feasibility study on the introduction of this technology.'

May said, 'I agree with adopting the robotic system as it can provide innovative service which matches our market position. We could do market research to explore whether customers would accept robot service in general. I suggest sending questionnaires to all customers in our membership scheme to collect their views on a robotic system.'

The Managing Director, Peter, queried the reliability of the information collected from questionnaires. He wanted to examine the project's feasibility from the financial perspective.

After the meeting, Simon estimated that the initial outlay for the robotic system would be \$4 000 000, with a project life of 3 years. The cost of capital would be 6%. Taking into consideration the annual expenses incurred and savings in labour costs, the net cash flow generated by the robotic system would be \$1 420 000 per year.

MKT606 Marketing Strategies for Goods and Services (II): Product Life Cycle and Services Marketing

- (a) With reference to any three characteristics of service, explain how King's Restaurant can solve the problems with its service quality. (6 marks)

MKT602 Marketing Research

- (b) Outline two limitations of sending questionnaires to all customers in the membership scheme to explore whether customers generally accept robot service. (4 marks)

FIN504 Capital Investment Appraisal

- (c) Based on Simon's financial estimates,
- (i) calculate the payback period of the robotic system (round to 2 decimal places). (2 marks)
- (ii) calculate the net present value of the robotic system (round to an integer). (2 marks)

FIN504 Capital Investment Appraisal

- (d) Based on the net present value calculated in (c)(ii) above, explain whether the robotic system project should be accepted. (2 marks)

FIN504 Capital Investment Appraisal

- (e) Other than the payback period method and the net present value method, suggest and explain one other capital investment appraisal method for evaluating the robotic system project. (2 marks)

(Total: 18 marks)

2018-Section B-5

The Food Truck Pilot Scheme was initiated by the Hong Kong Government in 2016. It aims to enhance the appeal of tourist attractions and provide diverse, creative and high quality food to tourists and the public. Robin, an experienced chef in a hotel, is planning to join the scheme to sell desserts. The food truck will be operated by him and his family members. Recently, he discussed his plan with his friend, Martin, who is running a chain of restaurants.

Martin said, 'You may need to look for financing through a bank to fund the startup and operations of the business.'

Robin responded, 'With hard work over the past years, I have saved around \$1 000 000 which can be used as the initial capital for the business. My brother is a professional accountant. He pointed out that as the operating cycle and the cash conversion cycle of a food truck are relatively short, there would be sufficient cash flows to operate the business.'

Martin said, 'That's good! In the meantime, you should draft a business plan for the food truck business to get a complete picture of what is involved in setting up the business. In your plan, you should include various budgets for your business. Though it may be costly and time-consuming to compile a budget, and there are some limitations of using budgetary control, it helps with many managerial functions.'

Robin responded, 'I heard that the marketing concept is also important for the success of a business, so I would like to segment the market. However, as the operational locations of the food truck rotate and are assigned by the government, I am afraid that the market is difficult to be segmented based on geographical location.'

Martin suggested, 'Except geographical location, you can also segment the market on other bases.'

FIN505 Working Capital Management

- (a) (i) Describe the operating cycle of the food truck business. (2 marks)

FIN505 Working Capital Management

- (ii) Give one reason why the cash conversion cycle of the food truck business is relatively short. (2 marks)

FIN502 Budgeting

- (b) Describe two limitations of using budgetary control for the food truck business. (4 marks)

MKT601 Role of Marketing

- (c) (i) Explain what 'marketing concept' means. (2 marks)

MKT601 Role of Marketing

- (ii) Explain with an example how the marketing concept could be applied to the food truck business. (2 marks)

MKT604 Segmentation, Targeting and Positioning

- (d) As suggested by Martin, explain three other bases of market segmentation that Robin could use. (6 marks)
- (Total: 18 marks)

2018-Section B-6

Sun Fung Company is a fast-growing logistics firm which delivers packages of various sizes from the Mainland to Hong Kong. Patrick, the Managing Director, called a meeting to discuss changing the remuneration system and improving the operational efficiency of the company.

Johnny, the Finance Manager, suggested, 'I think that our staff belong to the Theory Y type. To motivate them, we should change the remuneration system by freezing their basic salary and introducing a bonus based on the company's annual accounting profit and the staff's performance appraisal results. Then, they will face more challenges and their income will be linked to the company's performance. They will earn more by performing better, which will lead to a win-win situation!'

Patrick wondered, 'Are there any disadvantages of such a new system? Will our staff support this change?'

Rose, the Human Resources Manager, responded, 'Don't worry! Our staff are positive, energetic and willing to take up responsibility. They will support the proposed change in the remuneration system. I am actually more concerned with another issue: the working environment is too harsh for some front line workers. Some of them even quit their job because of back injuries and muscle pain. We should find ways to deal with this problem.'

Patrick responded, 'I was inspired by a technology exhibition in Germany and I am planning to install robotic arms in the workplace which can help lift bulky packages and enhance worker efficiency. Johnny, have you conducted the appraisal of this project?'

Johnny reported, 'The accounting rate of return of the project is estimated at 12%, which is higher than the company's required rate of return, and its net present value is -\$100 000.'

Patrick asked, 'The accounting rate of return is higher than the company's required rate of return, but the net present value is negative. Should we accept the project then? Any other non-financial factors that we should consider?'

HRM703 Rewards and Benefits Management

- (a) Explain three disadvantages of Johnny's proposal to change the remuneration system. (6 marks)

HRM705 Development of Quality Workforce

- (b) With reference to the assumptions of McGregor's Theory X and Theory Y,
- (i) give one piece of information from the case to support Johnny's view that the staff of Sun Fung Company belong to the Theory Y type. (1 mark)
- (ii) suggest two other ways in which Sun Fung Company could motivate its staff. (4 marks)

FIN504 Capital Investment Appraisal

- (c) Based on the accounting rate of return and the net present value of the robotic arms project, should Sun Fung Company accept the project? Justify your answer with one reason. (3 marks)

FIN504 Capital Investment Appraisal

- (d) Explain two non-financial factors that would support the installation of the robotic arms. (4 marks)

(Total: 18 marks)

2019-Section B-5

Fortune Cinema is a private limited company which operates five cinemas in Hong Kong. To take advantage of the market opportunity brought about by the rapid development of technology, the cinemas will be renovated. Four-dimensional (4D) and virtual reality (VR) effects will also be introduced.

In a meeting, Robert, the Managing Director of the company, said, 'I am pleased to announce that our cinemas will enter a new era by introducing 4D and VR effects. Francis, have you done the analysis for the project? Could we finance the renovation project using a bank loan, as in the past?'

Francis, the Finance Manager, replied, 'The renovation project will cost \$10 million and its internal rate of return is 8%. Currently, we rely on the company's reserves and borrowing from banks to support our operations. As our gearing ratio is much higher than the industry average, we should not borrow further from banks. We should find funding from the existing and new shareholders instead.'

Mary, the Marketing Manager, added, 'The introduction of the latest technology will definitely enhance our competitiveness. We may also consider implementing an electronic marketing system to sell movie tickets and maintain a customer database. This could help increase our sales. We may also set a high price for the tickets at the beginning in order to recover the renovation cost as soon as possible.'

FIN504 Capital Investment Appraisal

- (a) Assuming the company's cost of capital is 6%, explain whether Fortune Cinema should adopt the renovation project, based on the internal rate of return method. (2 marks)

FIN501 Financial Analysis

- (b) (i) Give two reasons why Fortune Cinema should not borrow further from banks. (4 marks)

FIN503 Sources of Financing

- (ii) If Fortune Cinema finds funding from the existing and new shareholders, which source of long-term financing is this? Explain two disadvantages of using this source of financing. (5 marks)

MKT606 Marketing Strategies for Goods and Services (II): Product Life Cycle and Services Marketing

- (c) Give two reasons why the electronic marketing system could increase sales in the cinemas. (4 marks)

MKT605 Marketing Strategies for Goods and Services (I): Marketing Mix

- (d) (i) State the type of pricing strategy suggested by Mary for the movie tickets. (1 mark)
(ii) Give one reason, other than the one given by Mary, to support the use of this pricing strategy. (2 marks)

(Total: 18 marks)

2019-Section B-6

Speedy Company is a fast-growing company which sells sports equipment and accessories in Hong Kong. Currently, the company has six retail stores and 40 staff. After reviewing the mid-year report of the company, Jeff, the General Manager, was disappointed with the performance of the company. He called an urgent meeting.

In the meeting, Jeff asked, 'Our actual sales revenues for the last six months are far below the budgeted figures. Can anyone tell me the reasons? Are there any remedial actions we can take?'

Patrick, the Marketing Manager, replied, 'We have already launched several advertising campaigns to enhance the image of our brand. To further boost our sales, we need to formulate other promotional strategies.'

Lucy, the Finance Manager, said, 'I guess we may have an unfavourable sales-volume variance because our main competitor opened several retail stores nearby in the past few months. I will conduct a detailed analysis and report to you next week.'

Annie, the Human Resources Manager, said, 'Our sales performance may be affected by the staff turnover. The staff turnover rate is at a record high this year. Recently, I talked to the staff who left the company. They appreciated the fact that we provided them with attractive remuneration and comfortable working environment. However, they complained that they had stayed in the same position for a long time and done the same job following rigid instructions. They felt bored.'

Jeff said, 'We should look for ways to motivate the existing staff and fill the vacancies as soon as possible.'

Annie replied, 'You are right. To fill the vacancies, we have recruited ten fresh graduates as sales trainees. We will provide training to them soon.'

Jeff asked, 'Shall we provide on-the-job or off-the-job training to them?'

MKT605 Marketing Strategies for Goods and Services (I): Marketing Mix

- (a) Apart from the element of the promotion mix mentioned in the case, give two other elements of the mix and explain how Speedy Company could use each of the elements to boost its sales. (4 marks)

FIN502 Budgeting

- (b) (i) What is an 'unfavourable sales-volume variance'? (1 mark)

MKT605 Marketing Strategies for Goods and Services (I): Marketing Mix

- (ii) With reference to any two elements of the marketing mix other than promotion, suggest one remedial action for each to cope with the competition mentioned by Lucy. (4 marks)

HRM705 Development of Quality Workforce

- (c) In view of the complaints made by the staff who left the company, and with reference to Herzberg's Dual-factor Theory,

HRM705 Development of Quality Workforce

- (i) explain why the staff of Speedy Company are not motivated by the attractive remuneration and comfortable working environment. (2 marks)

HRM705 Development of Quality Workforce

- (ii) suggest two ways to motivate the staff of Speedy Company. (4 marks)

HRM704 Training and Development

- (d) (i) Suggest one on-the-job training method for the newly-recruited sales trainees. (1 mark)

HRM704 Training and Development

- (ii) Explain one advantage, from the perspective of the sales trainees, of receiving on-the-job training instead of off-the-job training. (2 marks)

(Total: 18 marks)

2020-Section B-5

Happy Café is a coffee shop chain famous for its brewed coffee. It operates 10 branches in Hong Kong and has about 100 employees, including baristas, waiters and administrative staff.

In a meeting, Francis, the General Manager, said, 'Our turnover has dropped significantly due to intensified competition, which increases the risk of operating losses. We should adopt different risk management strategies to deal with this risk. Besides, we have to find ways to boost sales.'

Annie, the Marketing Manager, responded, 'Recently, many of our customers switched to the new fruit-tea shops which have opened nearby. This has created more competition. To boost sales, we will analyse factors affecting the buying decisions of customers and find ways to enhance customer loyalty.'

Jeff, the Finance Manager, added, 'Stimulating sales can prevent our coffee beans from becoming expired. The data shows that our annual demand for coffee beans has dropped from 8 600 kg to 7 300 kg. We have to pay more attention to inventory management and come up with a new re-order level.'

Sammi, the Human Resources Manager, said, 'Some new waiters will join our shops next month. Most of them are young and inexperienced. We will organise internal communication programmes to help them to adapt to the new working environment.'

FIN506 Risk Management

- (a) Suggest two types of risk management strategies Happy Café could use to deal with the risk of the operating losses mentioned by Francis. (4 marks)

MKT603 Consumer Behaviour

- (b) Explain two psychological factors affecting the buying decisions of the customers of Happy Café. (4 marks)

MKT607 Customer Relationship Marketing

- (c) Suggest two ways for Happy Café to enhance customer loyalty. (4 marks)

FIN505 Working Capital Management

- (d) Annual demand is a factor affecting the re-order level of coffee beans. Give one other factor and explain how it would affect the re-order level. (2 marks)

HRM705 Development of Quality Workforce

- (e) Suggest two internal communication programmes that could help the new waiters to adapt to the working environment. (4 marks)

(Total: 18 marks)

2020-Section B-6

Sum Kee is a wholesaler of electrical appliances in Hong Kong. After reviewing the financial statements of the company for the year ended 31 December 2019, Henry, the General Manager, called a meeting to discuss the performance of the company.

In the meeting, Henry presented the following financial information for 2019:

	\$
Credit sales	25 180 000
Cash sales	10 860 000
Credit purchases	18 346 500
Cash purchases	657 000
Average trade payables	1 089 400
Trade payables turnover (industry average)	8.2 times

Henry was concerned and said, 'During the past few years, our sales revenues have been increasing steadily. However, our cash balance has been declining. I am afraid that we will run out of cash very soon. What should we do to avoid this?'

Mark, the Finance Manager, responded, 'Improving our cash position is the most important short-term target. We will do a ratio analysis to see whether we can improve our cash position by managing the different components of the working capital.'

Henry said, 'I am optimistic about the local economic environment. We should plan in advance to further boost the sales.'

Ricky, the Marketing Manager, responded, 'Agree. We will conduct marketing research to collect information from retailers, so that we can formulate an appropriate marketing strategy.'

Allen, the Human Resources Manager, added, 'We will arrange off-the-job training for the salespersons next month. This can improve their performance, which will help to boost sales.'

FIN501 Financial Analysis

- (a) Calculate the trade payables turnover (in times, to two decimal places) of Sum Kee for 2019. (2 marks)

FIN505 Working Capital Management

- (b) With reference to any three components of working capital, suggest one way for each component to improve the cash position of Sum Kee. (6 marks)

MKT602 Marketing Research

- (c) Give two types of data collection methods and explain how Sum Kee could use each of them to gather information from retailers. (4 marks)

HRM704 Training and Development

- (d) (i) From the perspective of Sum Kee, explain two reasons for arranging off-the-job training instead of on-the-job training for the salespersons. (4 marks)

HRM704 Training and Development

- (ii) Suggest one off-the-job training method for Sum Kee that could improve the performance of its salespersons. (2 marks)

(Total: 18 marks)

2021-Section B-5

Sara Company is a well-known manufacturer of children's clothing, with more than 10 retail outlets in Hong Kong. Recently, it has been planning to expand its business by manufacturing and selling toy cars.

At a regular meeting, the Marketing Manager suggested doing marketing research using stratified random sampling to better understand the preference of parents before designing the toy cars. The Chief Executive Officer agreed and remarked that the initial selling price of the toy cars should be lower than that of its competitors.

As toy-car manufacturing is new to the company, the Chief Executive Officer emphasised that the selection of materials and the design of the toy cars must be done carefully. He was a bit worried about the safety issues associated with the toy cars and wondered whether the risks could be transferred to a third party by taking out insurance.

The Human Resources Manager raised a concern about the morale of the salespeople. According to the employee survey results of the company, the salespeople were dissatisfied with the laissez-faire leadership style of their supervisors. They complained that they frequently had to handle tasks beyond their job scope and were disappointed that only certificates had been given for good performance. The Chief Executive Officer believed that the salespeople belonged to the Theory X type and urged the Human Resources Manager to find ways to improve their morale.

Finally, the Chief Executive Officer proposed setting up an e-shop to sell the products. He asked the Finance Manager to evaluate whether this project was worth investing in. The Finance Manager estimated that the e-shop would initially cost \$3.5 million and would generate \$1 million of cash flows bi-annually in the coming two years.

MKT602 Marketing Research

- (a) (i) Illustrate how Sara Company could use stratified random sampling to collect data. (2 marks)

MKT602 Marketing Research

- (ii) Other than stratified random sampling, suggest one other sampling technique that Sara Company could use to collect data. (2 marks)

MKT605 Marketing Strategies for Goods and Services (I): Marketing Mix

- (b) State the pricing strategy of the new toy cars suggested by the Chief Executive Officer and explain the objective of adopting this strategy. (2 marks)

FIN506 Risk Management

- (c) Explain one type of insurance Sara Company should take out to deal with the risks mentioned by the Chief Executive Officer. (2 marks)

HRM705 Development of Quality Workforce

- (d) With reference to the characteristics of Theory X employees, suggest two ways to improve the morale of the salespeople. (4 marks)

FIN504 Capital Investment Appraisal

- (e) (i) If the cost of capital is 8% per annum, calculate the net present value (to the nearest dollar) of the e-shop project. (2 marks)

MGT402 Key Business Functions

- (ii) From the perspective of key business functions, explain two types of non-financial factors that Sara Company should consider when setting up the e-shop. (4 marks)

(Total: 18 marks)

2021-Section B-6

Tasty Company sells cookware. One of its popular products is an electronic cooking plate which has various functions including hotpot, making pancakes and grilling meats. In view of the steady growth in annual sales, Andy, the General Manager, is planning to open a flagship store in Tsim Sha Tsui in late 2021.

A management meeting was called to discuss the plan. The financial information for 2020 is shown below:

	\$ million
Annual sales	170
Total operating costs	45
Total capital	50
Total liabilities	16

Andy said, 'I am happy to see the high net profit ratios in recent years. I believe that the opening of the flagship store will bring us promising returns in the future.'

Peter, the Finance Manager, added, 'Our total assets turnover for 2018 and 2019 was 2.4 times and 2.5 times respectively, which was higher than the industry average. We will report the total assets turnover for 2020 in the next meeting. However, because of the opening of the flagship store, the total assets turnover for 2021 will probably drop. Also, it is estimated that the payback period of the flagship store investment project is three years.'

Andy said, 'We can take out a 1-year bank loan to finance the project.'

Peter responded, 'From the financial perspective, I would suggest sourcing the funds in other ways.'

Susan, the Marketing Manager, said, 'Our major customers are young ladies who always browse the Internet to get information. To reduce costs, it's a good idea to adopt e-marketing by cooperating with key opinion leaders (KOLs) on different social media platforms.'

Lucy, the Human Resources Manager, was concerned about the workload of the management team. She said, 'I propose promoting one of the branch managers to senior manager to lead the operations of the flagship store.'

Andy replied, 'I think we should source suitable candidates for the post of senior manager via headhunters instead.'

FIN501 Financial Analysis

- (a) (i) Calculate the total assets turnover (to two decimal places) for 2020. (2 marks)
- (ii) Why would the total assets turnover for 2021 probably drop? (2 marks)

FIN503 Sources of Financing

- (b) Give two reasons to support Peter's suggestion of sourcing the funds in ways other than taking out a 1-year bank loan. (4 marks)

MKT606 Marketing Strategies for Goods and Services (II): Product Life Cycle and Services Marketing

- (c) Apart from reducing costs, explain two other benefits to Tasty Company if the e-marketing strategy suggested by Susan is adopted. (4 marks)

HRM701 Human Resources Planning and Staffing

- (d) Explain two disadvantages of recruiting the senior manager externally instead of promotion-from-within. (4 marks)

HRM701 Human Resources Planning and Staffing

- (e) Give one advantage of recruiting the senior manager via a headhunter. (2 marks)

(Total: 18 marks)

2022-Section B-5

Sun Kee is a rice noodle restaurant in Mongkok which offers Yunnan-style sour and spicy rice noodles using a traditional recipe. The rice noodle restaurant is managed by its owner, Alvin. It hired three full-time waiters who received monthly fixed salaries and were entitled to statutory benefits.

Alvin noticed that the rice noodles of Sun Kee were not well accepted by its customers. The business was also severely affected by the spread of COVID-19 as many customers were reluctant to dine in restaurants. In addition, both the number of dine-in customers and the number of customers per table were restricted. To deal with the adverse environment, Alvin agreed with two full-time waiters to change their employment to a part-time basis on an hourly rate. He was also planning to adjust the marketing mix strategies in order to survive.

To have better planning, Alvin reviewed the last year's financial performance and budgets. He found that Sun Kee had experienced increasing losses for months. After investigation, he found that the material variances in the past few quarters were unfavourable.

In addition to the continuous losses, Sun Kee recently received many complaints from customers. They were dissatisfied with having to wait long to be served and mistakes in the orders. Alvin asked the waiters to see whether there were operational problems. The waiters reflected that there was not enough manpower to handle placing the orders, cleaning the tables and serving the meals during peak hours. Alvin then decided to hire one more part-time employee, who will be paid on an hourly rate, to share the workload of the existing waiters during the peak hours.

MKT601 Role of Marketing

- (a) From the perspective of the marketing concept, explain how marketing research could help improve the customers' acceptance of Sun Kee's rice noodles. (2 marks)

HRM703 Rewards and Benefits Management

- (b) Give two reasons for Alvin to change the employment of the existing full-time waiters to a part-time basis. (4 marks)

MKT605 Marketing Strategies for Goods and Services (I): Marketing Mix

- (c) With reference to two elements of the marketing mix other than price and promotion, suggest one way for each element to boost Sun Kee's sales. (4 marks)

FIN502 Budgeting

- (d) Explain two possible causes for the unfavourable material variances of Sun Kee. (4 marks)

HRM701 Human Resources Planning and Staffing

- (e) With reference to the staffing function, explain what Alvin should do to hire the additional part-time employee. (4 marks)

(Total: 18 marks)

2022-Section B-6

Helen Fashion is an international brand which sells high quality fashion for men, women and children. It sources clothing from around the globe and sells them in its stores in Hong Kong. The global economy is in the recovery stage and it is expected that the inflation rate and interest rate will keep rising in the coming years. Helen Fashion is finding ways to increase the inventory turnover as it is costly to keep excessive inventory.

Even though Helen Fashion pays its staff competitive salaries, it is still facing high absenteeism and staff turnover, resulting in understaffing. The Human Resources Manager proposed to formulate measures with reference to Herzberg's Dual-factor Theory to boost the staff morale so as to lower the staff turnover rate and to retain experienced salespeople.

In a recent survey, customers reflected that they were not satisfied with the shopping experience as they had to wait long when the salespeople were busy serving different customers. They also complained that the salespeople were impolite and they had to queue for a long time for fittings and payment. To improve the service quality and increase the distribution channels, Helen Fashion is planning to expand the target market to online shoppers by setting up an online shopping platform.

The initial capital outlay of setting up the online shopping platform was estimated at \$5 million and the net cash inflows for the first three years would be \$2 million, \$3 million and \$6 million respectively. The payback method will be used to evaluate the financial feasibility of the investment project.

The Finance Manager remarked that though the payback method was easy to understand, there were limitations. He suggested using other capital investment appraisal methods as well in order to make better decisions.

FIN505 Working Capital Management

- (a) From the perspective of inventory management, state two costs that Helen Fashion will incur for keeping excessive inventory. (2 marks)

HRM705 Development of Quality Workforce

- (b) With reference to Herzberg's Dual-factor Theory, explain with one example each the meaning of hygiene factor and motivator, to help Helen Fashion formulate measures to boost the staff morale. (4 marks)

MKT606 Marketing Strategies for Goods and Services (II): Product Life Cycle and Services Marketing

- (c) With reference to two characteristics of service, apart from 'intangibility', suggest one way each to enhance customer loyalty to Helen Fashion. (4 marks)

MKT604 Segmentation, Targeting and Positioning

- (d) Suggest two factors Helen Fashion should consider when determining whether to expand the target market to online shoppers. (4 marks)

FIN504 Capital Investment Appraisal

- (e) Explain two limitations for Helen Fashion of using the payback method only in appraising the investment project. (4 marks)

(Total: 18 marks)

2023-Section B-5

Tsuen Kee is a company selling camping products, including camping costumes, tents and cook sets. It operates five retail stores in its self-owned properties in Hong Kong. It hires about fifty employees, including shop managers and salespeople.

In a regular meeting, Andy, the General Manager, said, 'As more local people go camping and join outdoor activities at the countryside during holidays recently, both our sales volume and net profit have increased significantly. We should grasp this opportunity to expand our business. We will open a flagship store in Fun Square, a large shopping mall in Mong Kok, to introduce a wide variety of camping products to attract more customers. Tracy, should we use the accounting rate of return method to evaluate the financial feasibility of this expansion project?'

Tracy, the Finance Manager, responded, 'Since the time value of money is not considered in the calculation of the accounting rate of return, we should use the net present value method instead. Although both our sales volume and net profit have been increasing in recent years, we do not have much cash left as we have just repaid all long-term loans on time. We need to apply for another bank loan to support this expansion project.'

Ken, the Marketing Manager, said, 'Currently, there are some small stores selling camping products in Fun Square. They have been operating for more than ten years. Most of them sell camping products of local brands at low prices. We will face keen competition if we open the flagship store there. In order to attract more customers, we can analyse the socio-cultural factors affecting customers' buying decisions so as to formulate appropriate marketing mix strategies for our flagship store.'

Martin, the Human Resources Manager, added, 'We have to recruit salespeople and a shop manager for our flagship store. Since the latest staff turnover rate was higher than expected, I suggest promoting an existing salesperson to be the flagship store manager in order to improve staff morale. We can conduct a performance appraisal to decide which salesperson to be promoted.'

FIN504 Capital Investment Appraisal

- (a) Apart from the reason mentioned by Tracy, give one other reason why Tsuen Kee should use the net present value method instead of the accounting rate of return method to evaluate the expansion project. (2 marks)

FIN505 Working Capital Management

- (b) With reference to the '5Cs' of the credit standard, explain two factors that should be considered by a bank when deciding whether to grant credit to Tsuen Kee. (4 marks)

MKT603 Consumer Behaviour

- (c) Explain two socio-cultural factors affecting the buying decisions of Tsuen Kee's customers. (4 marks)

MKT605 Marketing Strategies for Goods and Services (I): Marketing Mix

- (d) Suggest two product strategies for the flagship store to attract customers under keen competition. (4 marks)

HRM702 Performance Appraisal

- (e) Apart from the purpose mentioned by Martin, explain two other uses for Tsuen Kee to conduct a performance appraisal for its salespeople. (4 marks)

(Total: 18 marks)

2023-Section B-6

Foodie is a retail chain selling frozen food which has stores in different districts. All goods are sold for cash while purchases are made in cash or on credit. It is equipped with advanced meat cutters and packaging equipment to ensure food safety and lower the cost.

At the beginning of operations, the annual sales growth rate of Foodie was quite high. But its sales growth has slowed down in recent years as many competitors have entered the market. To figure out appropriate actions, Ray, the General Manager, called a meeting with different department managers.

Ray said, 'The operating environment has become unfavourable in the last few months. We may need to close those branches which report continuous losses. We could also introduce new products to attract customers. However, we should understand customers' preferences first.'

Minnie, the Marketing Manager, responded, 'We can use observational research to gather information on customers' preferences for determining the types of products to be introduced. Besides, online shopping is popular nowadays. I suggest increasing sales channels to develop new customer bases by expanding our business to online shopping platforms.'

Lily, the Human Resources Manager, said, 'Both closing down branches and expanding to online business have impacts on the allocation of manpower. Based on the above proposal, I will conduct manpower planning and formulate appropriate action plans after comparing the manpower demand and supply.'

Ray said, 'I believe we have enough cash flow to support the expansion to online shopping platforms.'

Alex, the Finance Manager, responded, 'I have reservations. The cost of goods sold for 2022 was \$10 000 000. The closing inventory was \$811 000, which was higher than the opening inventory by \$266 000. The inventory turnover was lower than last year. This would affect the cash conversion cycle and cash flow of the company.'

MKT606 Marketing Strategies for Goods and Services (II): Product Life Cycle and Services Marketing

- (a) Identify the stage of the product life cycle of the frozen food industry. Give two pieces of evidence from the case to support your answer. (3 marks)

MKT602 Marketing Research

- (b) Describe how Foodie could adopt the data collection method suggested by Minnie to gather information on customers' preferences. State two limitations of adopting this method. (4 marks)

HRM701 Human Resources Planning and Staffing

- (c) Explain two action plans that should be taken by the Human Resources Department of Foodie after comparing the manpower demand and supply. (4 marks)

FIN501 Financial Analysis

- (d) Calculate the inventory turnover (to two decimal places) of Foodie for 2022. (2 marks)

FIN505 Working Capital Management

- (e) (i) Describe the cash conversion cycle of Foodie. (3 marks)

FIN505 Working Capital Management

- (ii) Explain how the drop in the inventory turnover would affect the cash conversion cycle of Foodie. (2 marks)

(Total: 18 marks)

2024-Section B-5

Infinity Language Learning Centre was established by Johnny, Peter and Nicole in the form of a private limited company. The centre hires twenty teaching staff to provide courses of various foreign languages including Korean and Japanese to cater for learners of different levels of proficiency and preferences. All classes are conducted in the premises owned by the company. It plans to build an artificial intelligence (AI) learning platform to expand the market and customer base.

In a meeting, Johnny reported, 'Our application for a government subsidy of \$1 000 000 for building the AI learning platform has just been approved. We will receive the subsidy at the end of the first year of operating the new platform. It is predicted that the new platform will generate net cash inflows of \$400 000 from operations at the end of each of the next four years. I am confident that sufficient funds can be sourced to finance the initial cost of \$2 000 000 without our capital injection.'

Peter added, 'The new learning platform is the stepping stone to integrate information technology with our business model. We can then formulate e-marketing strategies to better serve our customers.'

Johnny responded, 'That's a good idea. We may hire an expert with relevant qualifications and experiences in information technology to design and operate the AI learning platform and the e-marketing system. We have to start recruiting as soon as possible.'

Nicole responded, 'Using information technology in teaching is getting more popular. I believe that the new learning platform will become one of our competitive advantages. However, we should also put our focus on the quality of the teaching staff. Despite the fact that all teaching staff have passed the international professional language assessments, many of them are inexperienced in teaching. They still find it difficult to manage the classroom and deliver the teaching materials clearly, though we have provided on-the-job training for them. Shall we provide classroom training for them to enhance their classroom management and teaching skills?'

FIN504 Capital Investment Appraisal

- (a) Calculate the payback period of the AI learning platform project (to one decimal place). (2 marks)

FIN503 Sources of Financing

- (b) Apart from capital injection by existing shareholders, suggest one internal and one external financing method that the language learning centre could use for building the AI learning platform. (4 marks)

MKT604 Segmentation, Targeting and Positioning

- (c) Which type of target marketing strategy is adopted by the language learning centre? Give one piece of evidence from the case to support your answer. (2 marks)

MKT605 Marketing Strategies for Goods and Services (I): Marketing Mix

- (d) With reference to the 'product' and 'place' of the marketing mix, explain one difference each between adopting traditional marketing strategies and e-marketing strategies for the language learning centre. (4 marks)

HRM701 Human Resources Planning and Staffing

- (e) With reference to the staffing function, describe the recruitment and selection process of the information technology expert. (4 marks)

HRM704 Training and Development

- (f) As compared with on-the-job training, explain one advantage for the language learning centre of arranging classroom training for the teaching staff. (2 marks)

(Total: 18 marks)

2024-Section B-6

Lucky Company is a retail chain which sells smartphones, tablet computers and other electrical appliances in Hong Kong. Its suppliers normally take six days to deliver the goods to the shops after receiving the orders.

At a regular meeting, the Marketing Manager announced that the daily sales of a new model smartphone hit a high of 500 units, thanks to the successful launching of advertising campaigns and public relations activities.

The Managing Director was happy that the sales of the new model smartphone were better than expected. However, he was worried about the recent increase in complaints received from the customer hotlines. Customers complained that the new model smartphone was always out of stock, and the salespeople were rude. He urged the finance department and the marketing department to find ways to deal with the customers' complaints.

The Finance Manager reported that the quantity of safety stock of the new model smartphone had been increased to 600 units in order to avoid stockout. She also realised that the operating cycle of the chain was long and promised to find ways to shorten the operating cycle so as to enhance the operational efficiency.

The Marketing Manager responded that she would follow up on the customers' complaints immediately. She also found that the inventory of some electrical appliances was slow-moving, so a series of promotion activities would be launched in the coming months to enhance customer loyalty and to encourage customers to buy other electrical appliances in the retail shops, rather than just the new model smartphone.

The Managing Director also queried the increasing turnover rate of salespeople and the impacts brought about by the introduction of a sales commission system last quarter. As seen in the results of an employee survey, some salespeople were worried that their employment would be terminated if they failed to achieve the sales targets. Many salespeople had grievances about the low base pay and long working hours.

FIN505 Working Capital Management

- (a) Calculate the re-order level of the new model smartphone. (2 marks)

MKT607 Customer Relationship Marketing

- (b) Explain two factors that may affect the loyalty of the customers of Lucky Company. (4 marks)

MKT605 Marketing Strategies for Goods and Services (I): Marketing Mix

- (c) Other than the elements of the promotion mix adopted for the new model smartphone, explain two elements of the promotion mix to encourage customers to buy other electrical appliances in the retail shops. (4 marks)

FIN505 Working Capital Management

- (d) (i) Describe the operating cycle of Lucky Company. (2 marks)

FIN505 Working Capital Management

- (ii) State one possible reason for the long operating cycle of Lucky Company. Give one piece of evidence from the case to support your answer. (2 marks)

HRM705 Development of Quality Workforce

- (e) With reference to two relevant levels of needs in Maslow's Hierarchy of Needs Theory, suggest one way each that Lucky Company could adopt to retain its salespeople. (4 marks)

(Total: 18 marks)

2025-Section B-6

Emily Limited is a private limited company which sources handbags and accessories of different brands all over the world and sells them through its own online stores. It hires forty-five employees.

In a meeting, the Marketing Manager proposed to increase the number of distribution channels by setting up five new retail stores in different districts in Hong Kong in order to make the most of the opportunities brought about by the economic recovery.

The Finance Manager responded that setting up new stores required additional funds. She cited one accounting ratio and pointed out that the company was heavily in debt, so she proposed raising funds from new shareholders. She also suggested setting up sales counters in department stores instead so that less new funds would be required.

The Marketing Manager added that other factors should also be considered when deciding whether to set up its own retail stores or sales counters in department stores.

The General Manager preferred setting up sales counters in department stores as he had concerns about inviting new shareholders to invest in the company. Despite the company being heavily in debt, he suggested taking out a long-term bank loan.

The General Manager also expressed his concern about the staff turnover rate. Although the salaries of the staff were highly competitive with the industry, the staff turnover rate was still at a high level. The Human Resources Manager suggested providing additional fringe benefits to the staff.

MGT403 Small and Medium Enterprises (SMEs)

- (a) With reference to the definition of small and medium enterprises (SMEs), explain why Emily Limited is an SME. (2 marks)

FIN501 Financial Analysis

- (b) Which accounting ratio was cited by the Finance Manager? What does the ratio measure? (2 marks)

MKT605 Marketing Strategies for Goods and Services (I): Marketing Mix

- (c) Other than cost, explain two factors that Emily Limited should consider when deciding whether to set up its own retail stores or sales counters in department stores. (4 marks)

FIN503 Sources of Financing

- (d) Compared with taking out a long-term bank loan, explain two disadvantages for Emily Limited of sourcing funds from new shareholders. (4 marks)

HRM703 Rewards and Benefits Management

- (e) Apart from complying with the legal requirements, explain with examples two purposes for Emily Limited providing additional fringe benefits to its staff. (4 marks)

(Total: 16 marks)

2025-Section B-7

Dragon Box is a local catering company which provides lunch boxes to students. It has been making profits and is planning for an expansion.

Susan is the Operations Manager of Dragon Box. In a meeting, she reported, 'We are now considering introducing a food preservation method named cook-chill technology to the production of lunch boxes. This method can greatly reduce the growth of bacteria. According to the information provided by the vendor, the cook-chill technology investment project would require an initial outlay of \$2 500 000. The net cash flows at the end of Years 1 to 3 were estimated at \$500 000, \$1 200 000 and \$1 900 000 respectively.'

Ricky, the General Manager, responded, 'It is a good suggestion to incorporate the latest technology into our production process. But we need to assess the investment project carefully. Apart from the cash flows mentioned, we should also estimate the profits to be generated from the investment project in order to assess its financial feasibility.'

Helen, the Marketing Manager, added, 'There has been a trend of people holding private events such as wedding parties and birthday celebrations in clubhouses and party rooms. Shall we expand our business to offer catering services for these events? We may select professionals as our target customers.'

Ricky asked, 'Are you sure that professionals is an attractive market segment? Do we have sufficient manpower to handle the new business?'

Fred, the Human Resources Manager, replied, 'We will take the first step of the manpower planning process to estimate our demand for chefs. Interviews with the candidates will be arranged as soon as possible, if necessary.'

Ricky said, 'Interviews are subject to personal bias and it is difficult to set standardised selection criteria. We should use other means to select suitable candidates.'

FIN504 Capital Investment Appraisal

- (a) (i) If the cost of capital is 10% per annum, calculate the net present value (to the nearest dollar) of the cook-chill technology investment project. (2 marks)

FIN504 Capital Investment Appraisal

- (ii) Based on net present value, should Dragon Box accept the investment project? Justify your answer with one reason. (1 mark)

FIN504 Capital Investment Appraisal

- (b) (i) State the capital investment appraisal method that uses profit for the evaluation of the investment project. (1 mark)

FIN504 Capital Investment Appraisal

- (ii) List two limitations of using the capital investment appraisal method in (b)(i). (2 marks)

MKT604 Segmentation, Targeting and Positioning

- (c) Explain two factors Dragon Box should consider when determining whether professionals is an attractive market segment. (4 marks)

HRM701 Human Resources Planning and Staffing

- (d) With reference to the manpower planning process, describe the next two steps that Dragon Box should take after estimating the demand for chefs. (4 marks)

HRM701 Human Resources Planning and Staffing

- (e) Apart from the limitations of using interviews given by Ricky, explain one other limitation of interviews. (2 marks)

(Total: 16 marks)

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